REQUEST FOR PROPOSALS

for

ACTUARIAL SERVICES TO VALUE OTHER POST-EMPLOYMENT BENEFITS (OPEB) IN COMPLIANCE WITH GOVERNMENTAL ACCOUNTING STANDARDS BOARD STATEMENT NO. 75 (GASB 75)

Proposals Due by 11:59 PM, July 31, 2024

Introduction:
The Apple Valley Fire Protection District is accepting proposals from qualified consultants for Actuarial Services in accordance with the included specifications, terms, and conditions included in this Request for Proposal (RFP). Prospective respondents are advised to read this information over carefully prior to submitting a proposal.

A pdf of the proposal should be submitted to the Apple Valley Fire Protection District by 11:59 PM, July 31, 2024. Proposal shall be submitted via email to**: Amber Exley (aexley@avfpd.org)** with the subject line **"Other Post-Employment Benefits Actuarial Services".**

Proposals can alternatively be sent via mail and addressed to:

Apple Valley Fire Protection District
Amber Exley, Finance Officer
RE: Other Post-Employment Benefits Actuarial Services
22400 Headquarters Drive, Apple Valley, CA 92307

GENERAL INFORMATION

The Apple Valley Fire Protection District (AVFPD) is seeking proposals from qualified professional actuary firms (Actuary) to provide services to value Other Post-Employment Benefits (OPEB) in compliance with Governmental Accounting Standards Board Statement No. 75 (GASB 75) for inclusion in AVFPD's Comprehensive Annual Financial Report as of June 30, 2024, and beyond.

Said valuations must be performed in accordance with generally accepted actuarial standards of practice promulgated by the Actuarial Standards Board and based on the actuarial assumptions and methods prescribed by the California Public Employees' Retirement System (CalPERS) Board. The required services and performance conditions are described in the Scope of Work.

There is no expressed or implied obligation of AVFPD to reimburse responding firms for any expense incurred in preparing proposals in response to this request. During the evaluation process, the AVFPD reserves the right, where it may serve AVFPD's best interest, to request additional information or clarifications from proposers, or to allow corrections of errors or omissions.

AVFPD reserves the right to retain all proposals submitted and to use any ideas in a proposal regardless of whether that proposal is selected. Submission of a proposal indicates acceptance by the firm of the conditions contained in this request for proposal, unless clearly and specifically noted in the proposal submitted and confirmed in the contract between AVFPD and the firm selected.

To be considered, a proposal must be received by 11:59 PM, July 31, 2024. Please see the Instructions to Submitting Firms in this document for further information.

BACKGROUND

The Apple Valley Fire Protection District was formed in 1951 and was incorporated as a Fire District in 1962 under the California Health and Safety Code, Local Fire District Law of 1961. AVFPD is located approximately 90 miles northeast of Los Angeles and provides fire service to a population of approximately 94,000 residents within a service area of approximately 206 square miles. AVFPD employs 59 full-time employees. AVFPD's Adopted Budget for fiscal year 2024 totals $15.5 million.

AVFPD contracts with the California Public Employees' Retirement System to provide retirement benefits under California Government Code section 22825.5. AVFPD provides a monthly health insurance reimbursement to retirees up to a maximum contribution set by AVFPD's Board of Directors, based on years of service and position held. As of December 1, 2007, the plan is closed to new employees, excluding Firer Chief, Deputy Fire Chief, Finance Officer, Division Chief, Battalion Chief, Fire Marshal, Deputy Fire Marshal, Fleet Services Manager and Administrative Services Manager.

SCOPE OF WORK

The Apple Valley Fire Protection District is seeking proposals from qualified firms interested in providing actuarial services to AVFPD for valuation of OPEB offered by AVFPD. The Actuary must at a minimum:

1. Prepare actuarial valuations in compliance with the reporting requirements of all applicable GASB statements, including but not limited to, GASB Statements 74 and 75 and any future GASB pronouncements and governmental accounting reporting requirements.

2. Deliver OPEB related biennial valuations as of June 30, 2024, June 30, 2026, and June 30, 2028.

3. Deliver OPEB biennial roll-forward updates as of June 30, 2025, June 30, 2027, and June 30, 2029.

4. Recommended contributions/plan funding for Fiscal Year (FY) 2025 – 2030.

5. Prepare necessary information for inclusion in AVFPD's Comprehensive Annual Financial Report to comply with current and future GASB pronouncement reporting and disclosure requirements.

6. Provide all documents and information (including the actuarial certification, funding policy certification, and Excel valuation information spreadsheet) required by CalPERS for agencies funding with the California Employers'' Retiree Benefit Trust (CERBT) along with a certified final valuation results outline.

7. Meet with AVFPD in person or virtually as needed, to make necessary decisions and report progress on valuations, including auditor related inquiries and financial reporting issues.

8. Assistance in implementing any new GASB statements and other financial pronouncements related to OPEB and providing ongoing professional consultation.

9. Working Paper Retention - All working papers and reports must be retained, at the Actuary's expense, for a minimum of seven (7) years after the last year of the contract, unless the Actuary is notified in writing by AVFPD of the need to extend the retention period. The Actuary will be required to make working papers available upon request, including, but not limited to, AVFPD or its designees. The Actuary shall work with AVFPD staff and financial auditors as needed to comply with GASB 75 requirements and Comprehensive Annual Financial Report preparation and audits.

10. The Actuary shall respond to the reasonable inquiries of successor Actuaries and allow successor Actuaries to review working papers relating to matters of continuing GASB and accounting significance, if needed.

11. AVFPD shall be free to publish the valuations and reports as they see fit without obtaining prior permission from the Actuary as long as they are not used in a potentially misleading manner and no material subsequent event has occurred that might render the valuation and reports potentially misleading.

12. The proposal package shall present all-inclusive actuarial fees for each year of the contract term. Actuarial fees associated with optional extensions exercised by AVFPD will be negotiated at the time of contract extension. AVFPD requires the total costs be stated as a "not to exceed" basis and shall be inclusive of labor, travel, report preparation, printing, and all other expenses incurred by the Actuary.

PROPOSAL REQUIREMENTS

The following is a list of the information to be provided. A proposal that does not include the information required below may be deemed non-responsive and subject to rejection.

Firms are encouraged to be brief and relevant to the specific information requested. Proposals should be straight forward, concise, and provide "layman": explanation of technical terms that are used.

1. Provide a cover letter on company letterhead addressing the proposal. The letter shall be signed by an officer of the Actuary firm authorized to bind the firm to all comments made in the proposal, and shall include the name, address, and phone number of the person(s) to contact who will be authorized to represent Actuary firm.
2. The respondent's proposal must include a project plan for the actuarial services engagement to be performed under this RFP for the valuation of other postemployment benefits. The project plan should include, at a minimum, the following:
    a. Approach and methodology for the valuation.
    b. Approach and methodology to include compliance with GASB standards.
    c. Data requirements from AVFPD.
    d. Identification of project plan milestones
    e. Schedule for project completion and issuance of report
    f. Valuation report elements to include:
        i. Actuarial present value of total projected benefits.
        ii. Actuarial accrued liability.
        iii. OPEB assets both market value and actuarial value.
        iv. Unfunded actuarial accrued liability.
        v. Normal cost.
        vi. Annual required contribution as a dollar amount and as a percentage of Payroll.
        vii. Annual OPEB cost.
        viii. Net OPEB obligation.
        ix. Summary of data used for the valuation.
        x. Summary of actuarial methods and assumptions.
        xi. Financial notes to be included in the AVFPD's audited financial statements in the GASB prescribed format.

3. Describe the governmental experience of the firm including the specific details regarding experience in the area of actuarial valuation services related to OPEB.

4. Provide a list of municipal government references where the firm has provided OPEB actuarial valuation services in the past thirty-six (36) months. This list should

indicate the names and contact information of finance officers in these municipalities.

5. Provide information regarding staffing including the experience of the individuals who will be assigned to the engagement. This should also include each individual's relevant experience with municipalities and preparing OPEB actuarial valuations. Also, include information as to the annual training plan of the firm related to governmental services.

6. Provide a complete schedule of fees (one time or reoccurring) for all scope of services.

7. For additional services requested by AVFPD that are not included within the scope of the routine services outlined in the RFP, please indicate your hourly time charges.

8. Provide a sample actuarial valuation.

9. Provide a sample of the additional information needed to prepare necessary notes for the financial statements to be included in AVFPD's audited financial statements, including, but not limited to, notes and required supplementary information.

10. Provide your latest financial statement and describe in detail the financial history and resources of your firm, to show financial stability. Disclose any settlements or legal claims where litigation is currently pending or has occurred against your firm within the last five years.

EVALUATION CRITERIA

AVFPD will evaluate the responses and make a recommendation to the AVFPD Board for approval. The evaluation committee will consider the following factors:

1. Understanding of the services required.

2. Quality, clarity, and responsiveness of proposal.

3. Proposed fees.

4. Information provided by client references.

5. Demonstrated competence and professional qualifications necessary for successfully performing the work required.

6. Background and related experience of the principal individuals to be assigned to provide services.

7. Approach in providing OPEB Trust actuarial consulting services.

8. Interviews, if conducted.

SELECTION PROCESS

1. AVFPD will initially review all responses to determine responsiveness. Any response that does not address all requested requirements or is incomplete will be rejected.

2. AVFPD will evaluate all responses based on the criteria stated above. The evaluation committee may afford organizations the opportunity to clarify responses for the purpose of assuring a full understanding of their responsiveness to the RFP.

3. AVFPD may conduct interviews with firms found to be the most qualified to perform the services required, based upon the criteria listed in this RFP. If so, the firms will be notified in advance of the proposed interview date.

4. All responding firms will be notified in writing once one or more organizations have been selected and approved.

INSTRUCTIONS TO SUBMITTING FIRMS

1. Examination of Proposal Documents
   By submitting a proposal, the prospective firm represents that it has thoroughly examined and become familiar with the services required under this RFP, and that it can deliver quality services to AVFPD in a creative, cost-effective, and service-oriented manner.

2. Questions/Clarifications
   Please direct any questions regarding this RFP to Amber Exley, Finance Officer at aexley@avfpd.org. Questions must be received via email by 4:00pm on July 29, 2024

3. Submission of Proposals
   Complete written proposals must be submitted via email or via mail in sealed envelopes marked and received no later than 11:59 PM PDT on July 31, 2024, to the address below. Proposals will not be accepted after this deadline.

Emailed to**: aexley@avfpd.org** with the subject line **"Other Post-Employment Benefits Actuarial Services".**

Or mailed to:

Apple Valley Fire Protection District
Amber Exley, Finance Officer
RE: Other Post-Employment Benefits Actuarial Services
22400 Headquarters Drive
Apple Valley, CA 92307

4. Withdrawal of Proposals
   A firm may withdraw its proposal at any time before the due date for submission of proposals as provided in the RFP by delivering a written request for withdrawal signed by, or on behalf of the prospective firm.

5. Rights of the Apple Valley Fire Protection District
   This RFP does not commit AVFPD to award a contract, nor does it obligate AVFPD to pay for any costs incurred in preparation and submission of proposals or in anticipation of a contract.

   AVFPD reserves the right to:
   a. Make the selection based on its sole discretion;
   b. Reject any and all proposals without prejudice;
   c. Issue subsequent Requests for Proposal;
   d. Postpone opening for its own convenience;
   e. Remedy technical errors in the Request for Proposal process;
   f. Approve or disapprove the use of particular sub-contractors;

g. Negotiate with any all, or none of the prospective firms;
h. Solicit best and final offers from all or some of the prospective firms;
i. Accept other than the lowest offer; and/or
j. Waive informalities and irregularities in the proposal process.

6. Response Submission
   Responses must include a cover letter indicating the mailing address of the office from which the response is submitted, the name of the individual who will represent the firm as the primary contact person for the response, and the telephone number and email information of the primary contact person.

7. Administrative Specifications
   a. All responses must be irrevocable for 180 days and signed by an authorized officer of the firm.
   b. Successful responding firms must agree to provide AVFPD with audit access on request during the term of the contract and for 7 years thereafter.
   c. AVFPD at any time, in its sole discretion, may terminate its contract with the selected organization or postpone or delay all or any part of the contract, upon written notice to the selected firm.

8. Contract Approval
   After Board approval, staff will commence contract negotiations with the selected proposer. If a satisfactory contract cannot be negotiated in a reasonable time, AVFPD, in its sole discretion may terminate negotiations with the initially selected proposer and begin contract negotiations with the next highest ranked proposer.

9. Conclusion
   By submitting a proposal, each prospective firm represents and warrants that its proposal is genuine and not a sham or collusive or made in the interest of or on behalf of any person not named therein; that the prospective firm has not directly, induced or solicited any other person to submit a sham proposal or any other person to refrain from submitting a proposal; and, that the prospective firm has not in any manner sought collusion to secure any improper advantage over any other person submitting a proposal.